

out. The report added that the cuts, implemented in September, could weigh further on states' full-year GST collections.

Additionally, the Centre has constituted the Eighth Pay Commission for central government employees. Several states will follow suit with their own pay panels, and that will further strain their finances as salaries and pensions may rise.

In this backdrop, the report of the 16th Finance Commission, to be tabled in Parliament in the Budget session, will provide clarity on the devolution of revenue between the Centre and states for the next five years till 2030.

On the household front, savings have been falling while credit card debt and personal loans have been rising, sparking worries about consumers overleveraging. Household savings are seen to have declined to 18.1% of GDP by FY24 from a peak of 22.7% in FY21, while personal loans rose to 17.7% of GDP by the end of FY24, from 15.4% in FY21. In December 2025, credit card spending rose by 9% year-on-year.

In its Economic Outlook report, India Ratings and Research highlighted this dichotomy while pegging GDP growth for FY27 at 6.9%, underlining that domestic reforms, including the income tax cut in the FY26 Budget, GST rationalisation, and three foreign trade agree-

ments—with Oman, UK, and New Zealand—will help the economy withstand global uncertainties caused mainly by the US tariffs.

However, Devendra Kumar Pant, Chief Economist and Head Public Finance at India Ratings, sees headwinds ahead, including the El Niño climate pattern from mid-2026 that could result in deficient monsoon rains, a weak currency due to tepid capital flows, sluggish global trade growth, a waning base effect, and slower growth of net production taxes due to GST cuts. "Another emerging headwind is artificial intelligence," he adds.

While private final consumption expenditure, which constitutes 56% of the GDP, is seen to be more broad-based and is estimated to grow by 7% this fiscal, private investments are yet to stage a similar recovery. That has been a recurring concern over the past few years.

A fast-depreciating rupee, which fell by over 4% against the US dollar in 2025 and breached the 90 mark for the first time, has also been a point of pain, although the government and the Reserve Bank of India maintain that this has been due to external factors.

de Guzman of Moody's says India's fiscal strength remains the weakest point in the country's sovereign credit profile, "reflecting the persistence of high debt and low



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► **THE REPORT OF THE 16TH FINANCE COMMISSION WILL LAY THE ROAD MAP ON SHARING OF REVENUES BETWEEN THE CENTRE AND STATES**

► **REFORMS IN CUSTOMS DUTY, INCLUDING A REJIG IN SLABS AND PROCEDURAL SIMPLIFICATION, ARE ALSO IN THE OFFING**

► **THE FOCUS ON DEREGULATION, DECRIMINALISATION AND SELF-RELIANCE IS LIKELY TO CONTINUE**

► **STAKE SALES IN PSU BANKS AND CONSOLIDATION, ALLOCATIONS TO THE NEW VB-GRAMG SCHEME ARE TO BE MONITORED**

► **A NEW FISCAL ROAD MAP WITH DEBT REDUCTION TARGETS LIKELY TO BE UNVEILED**



"What is also needed is an improvement in the quality of the labour force that will use and operate these infrastructure assets"

DEVENDRA KUMAR PANT
CHIEF ECONOMIST,
INDIA RATINGS AND RESEARCH